

CURBING VOLATILITY

THE RUPEE
MAY HAVE
RECOVERED
FROM ITS
RECORD LOW
OF 95 TO
THE DOLLAR,
BUT EXPERTS
CAUTION THAT
THERE COULD
BE MORE PAIN
AHEAD

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FOR OVER A YEAR now the rupee has seen high volatility. Even so, on March 30, the rupee slipped below 95 against the US dollar for the first time; the fall comes to 5.8% from January 1. While there has been some recovery since then, it is expected to remain weak, especially if the conflict smoulders on.

The rupee recovered slightly after the US and Iran declared a two-week truce and the Reserve Bank of India (RBI) announced steps to curb speculation in the forex market. On April 10, it closed at 92.68. However, it weakened again on April 13, falling past the 93 to the dollar mark after the US and Iran failed to arrive at a peace deal and oil prices spiked again. It closed at 93.48 on April 21.

The biggest reason for the rupee's fall is the heightened volatility in the global economy. In FY26, it declined nearly 10% to the US dollar, due to headwinds such as the tariff war launched by US President Donald Trump last year. The trade and tariff-related uncertainties, coupled with investors chasing artificial intelligence (AI)-related opportunities in markets, right from the US to South Korea, led to a huge sell-off in Indian equity markets by foreign portfolio investors (FPIs).

The FPI exodus has deepened since the war broke out in West Asia. Investors are worried that India's import-dependent economy will suffer with high oil prices and supply disruptions. Between April 2025 and March 2026, FPIs pulled out close to ₹1.81 lakh crore (over \$19 billion) from India's equity market, according to data from National Securities Depository Ltd.

In March alone, FPIs selling was over ₹1.17 lakh crore (about \$12.7 billion), among the worst monthly outflows. In the first 10 days of April, they sold another ₹48,213 crore (around \$5.15 billion)